

MOCK TEST: ADMISSION OF A PARTNER

Class 12 Accountancy | Marks: 50 | Time: 1 Hour

Section A: Multiple Choice Questions (10 Marks)

1. When a new partner is admitted, the revaluation of assets and liabilities is done to:

- a) Determine the new profit-sharing ratio | b) Adjust the values to current market prices
- c) Calculate goodwill | d) Distribute reserves

2. Goodwill brought in by the new partner is shared by old partners in:

- a) New profit-sharing ratio | b) Sacrificing ratio | c) Capital ratio | d) Equal ratio

3. The sacrificing ratio is calculated as:

- a) Old ratio - New ratio | b) New ratio - Old ratio | c) Old ratio + New ratio | d) None of the above

4. In the admission of a partner, accumulated profits are distributed to old partners in:

- a) New ratio | b) Old ratio | c) Sacrificing ratio | d) Gaining ratio

5. If a new partner brings ₹50,000 as goodwill, and the sacrificing ratio is 2:1, how much will each old partner receive?

- a) ₹25,000 and ₹25,000 | b) ₹33,333 and ₹16,667 | c) ₹20,000 and ₹30,000 | d) ₹40,000 and ₹10,000

6. Which account is prepared to record changes in asset and liability values on admission?

- a) Profit and Loss Account | b) Revaluation Account | c) Goodwill Account | d) Capital Account
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7. If assets are revalued upwards, the profit on revaluation is credited to:

- a) New partner's capital | b) Old partners' capital in new ratio | c) Old partners' capital in old ratio | d) Revaluation Account
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8. The new partner's capital is adjusted to match the old partners' capitals by:

- a) Debiting the new partner | b) Crediting the new partner | c) Adjusting goodwill | d) Adjusting revaluation
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9. In case of admission, the balance sheet is prepared after:

- a) Revaluation only | b) Goodwill adjustment only | c) All adjustments including capital adjustments | d) None of the above
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10. If a partner is admitted with $\frac{1}{4}$ share, and old ratio is 2:1, the sacrificing ratio is:

- a) 2:1 | b) 1:2 | c) 1:1 | d) 3:1
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Section B: Short Answer Questions (10 Marks)

11. Define 'sacrificing ratio' and explain its significance in the admission of a partner. (3 marks)

12. What is the purpose of revaluing assets and liabilities on admission? Give two examples of items that may be revalued. (3 marks)

13. Explain the treatment of goodwill when a new partner is admitted. (2 marks)

14. Differentiate between sacrificing ratio and gaining ratio. (2 marks)

Section C: Long Answer Questions (10 Marks)

15. Describe the accounting treatment for the admission of a new partner, including the steps involved and the accounts prepared. (5 marks)

16. Explain how accumulated reserves and profits are adjusted on the admission of a partner. (5 marks)

Section D: Practical Problems (20 Marks)

17. A and B are partners sharing profits in the ratio of 3:2. They admit C as a new partner with $\frac{1}{5}$ share. The new profit-sharing ratio is 2:2:1. Goodwill of the firm is valued at ₹60,000. C brings ₹40,000 as his share of goodwill. Pass the necessary journal entries. (5 marks)

18. [Comprehensive] Balance sheet of P and Q (31 March 2023): Assets 1,7L, Liabilities 40k, Capitals 60k each. Admit R for $\frac{1}{4}$ share. Assets revalued: Fixed Assets +20k, Stock -5k, Creditors +5k. Goodwill 50k. R brings 70k capital. Prepare Revaluation, Partners' Capital, and Balance Sheet. (15 marks)

--- Official Answer Key ---

Section A: 1(b), 2(b), 3(a), 4(b), 5(b), 6(b), 7(c), 8(a), 9(c), 10(a)

Section B summary: Sacrificing ratio = Old - New. Revaluation brings book value to market value. Goodwill shared by sacrificers.

Section D (Q17): Sacrificing ratio A ($\frac{3}{5} - \frac{2}{5} = \frac{1}{5}$), B ($\frac{2}{5} - \frac{2}{5} = 0$). Entire goodwill ₹40,000 credited to A.

Section D (Q18) Revaluation: Profit ₹10,000. Distributed P: ₹6,000, Q: ₹4,000.

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